

Cholamandalam Investment & Finance Company Ltd

Investment Rating : Weak

Company Overview

Website	https://www.cholamandalam.com/
Sector	nan
Market Cap	971,931.96 Cr
PE Ratio	16.79
PB Ratio	10.36
Dividend Yield	2.83 %

Financial Quality

ROE	20.2
ROCE	10.4
CFO Quality	Accrual Risk
FCF CAGR	nan%
Capital Pattern	Aggressive

Capital Allocation

Capital Score	43.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Very High

Business Overview

Cholamandalam Investment & Finance Company is one of the premier diversified non-banking finance companies in India, engaged in providing vehicle finance, home loans and Loan against property.[1]

Strengths

Revenue growing above 15% CAGR over 5 years reflects strong business momentum.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Net profit compounding above 20% over 5 years creates significant shareholder value.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

Debt-to-equity ratio of 6.86 is elevated for a non-financial company and warrants monitoring.
Free cash flow negative for 3 consecutive years raises concern about cash generation quality.

Rising debt over the past 3 years suggests increasing financial leverage risk.
Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital.
Net debt exceeding three times operating profit indicates elevated financial leverage.